Loyalty Program(1)

Turnitin

Document Details

Submission ID

trn:oid:::3618:115000825

Submission Date

Sep 30, 2025, 4:16 PM GMT+5

Download Date

Sep 30, 2025, 4:17 PM GMT+5

File Name

Loyalty Program(1).docx

File Size

29.0 KB

6 Pages

1,368 Words

8,419 Characters

0% detected as AI

The percentage indicates the combined amount of likely AI-generated text as well as likely AI-generated text that was also likely AI-paraphrased.

Caution: Review required.

It is essential to understand the limitations of AI detection before making decisions about a student's work. We encourage you to learn more about Turnitin's AI detection capabilities before using the tool.

Detection Groups

0 AI-generated only 0%
Likely AI-generated text from a large-language model.

0 AI-generated text that was AI-paraphrased 0%
Likely AI-generated text that was likely revised using an AI-paraphrase tool or word spinner.

Disclaimer
Our AI writing assessment is designed to help educators identify text that might be prepared by a generative AI tool. Our AI writing assessment may not always be accurate (it may misidentify writing that is likely AI generated as AI generated and AI paraphrased or likely AI generated and AI paraphrased writing as only AI generated) so it should not be used as the sole basis for adverse actions against a student. It takes further scrutiny and human judgment in conjunction with an organization's application of its specific academic policies to determine whether any academic misconduct has occurred.

Frequently Asked Questions

How should I interpret Turnitin's AI writing percentage and false positives?
The percentage shown in the AI writing report is the amount of qualifying text within the submission that Turnitin's AI writing detection model determines was either likely AI-generated text from a large-language model or likely AI-generated text that was likely revised using an AI paraphrase tool or word spinner.

False positives (incorrectly flagging human-written text as AI-generated) are a possibility in AI models.

AI detection scores under 20%, which we do not surface in new reports, have a higher likelihood of false positives. To reduce the likelihood of misinterpretation, no score or highlights are attributed and are indicated with an asterisk in the report (*%).

The AI writing percentage should not be the sole basis to determine whether misconduct has occurred. The reviewer/instructor should use the percentage as a means to start a formative conversation with their student and/or use it to examine the submitted assignment in accordance with their school's policies.

What does 'qualifying text' mean?
Our model only processes qualifying text in the form of long-form writing. Long-form writing means individual sentences contained in paragraphs that make up a longer piece of written work, such as an essay, a dissertation, or an article, etc. Qualifying text that has been determined to be likely AI-generated will be highlighted in cyan in the submission, and likely AI-generated and then likely AI-paraphrased will be highlighted purple.

Non-qualifying text, such as bullet points, annotated bibliographies, etc., will not be processed and can create disparity between the submission highlights and the percentage shown.

AI Transforming Loyalty Programs into an Intelligent System for Customer Retention and Engagement

Student Name

Professor Name

University Name

Date

Table of Contents

1 Introduction

Customer retention programs have always been based on the loyalty program, whereby purchase is normally paid either in terms of **point accumulation, discounts, or cash back**. The work in such transactional models is somehow not personalized and is not usually linked with the more intimate contact with the customers (Mutzel & Unternahrer, 2024). Today, loyalty programs are transforming more into transactional programs due to the development of artificial intelligence. Artificial intelligence implementation can be accomplished to enhance brand-customer relations by using data, personalisation, and active engagement, as well as customer-specific rewards. This report explores the way AI is altering the way loyalty is being applied as an attempt to increase engagement and provide the customer in the long term.

2 Problems with Traditional Loyalty

The modern loyalty programs have to be more efficient compared to the traditional model of transactions. Through traditional models, customers received points after purchases and received some discounts or cashback. The process is very easy and is based on a reactive cycle, but it awards points, which can be traded in over time to earn rewards. These systems are likely to handle customers as a block, regardless of how easy and simple they are to manage. They are not offering incentives that cut across all customers irrespective of their preferences and conduct. **Personalization is thus not very high**, and there are no great attempts to personalize rewards and communication to the various classes of customers. The second big drawback is that the **competitors can easily copy them**, and it finds its way into the discount wars that may end up depleting the profit margins and make them useless in the long term.

Moreover, customer monetary orientation would imply that the customers would be more reward-loyal than brand-loyal, and, consequently, the degree of **emotional attachment and attraction would be minimal**. All these restrictions are even more timely in a more competitive market when loyalty in transactions is not to establish any meaningful and long-term relationships (Rane et al., 2023). There is a need for such programs that are smarter and customer-oriented in their processes, that can leverage the power of data in their logic, and develop a roadmap to AI-driven loyalty programs. These programs are meant to be personalized, attractive, and sustainable retention programs for clients.

3 AI Transforming Loyalty Programs

3.1 Category 1: Hyper Personalization of Offers

AI will help companies to work with a mind-blowing volume of data points, such as browsing history, purchasing history, and behavioral data, to create hyper-personalized offers. In comparison with blanket discounts, AI will make sure that the offers, incentives, and recommendations are tailored to customer requirements and preferences. Evidence suggests that the need to become personal is high: 76% of consumers are seeking to have businesses know their unique needs (Salesforce, 2024). Another survey reveals that 83% of consumers are open to sharing their data to experience personalization (Morgan, 2020). In another study, 78% of consumers would also be more willing to make a repeat purchase upon being personalized, and such plans create repeat purchases and good brand loyalty (McKinsey & Company, 2021).

3.2 Category 2: Predictive Analysis for Retention

Predictive analytics based on AI will help businesses predict customer behavior, such as the probability of churning and a purchase decision. When the employees are not disengaged, the organizations can identify the warning signs and take proactive measures like tailored incentives. The physical impact of such a characteristic already has quantifiable implications. Predictive analytics will enable AI to **reduce churn** and cut the volume by up to 35% (Gartner Analytics, 2020). The business case is straightforward, as it is much cheaper to retain a customer than it is to attract one. Not only is predictive modeling capable of reducing the amount of attrition by engaging the customer at the appropriate time and in the appropriate manner. But it also leads to even higher levels of satisfaction and loyalty that facilitate customer relationships in the long term.

3.2.1 Dynamic Pricing and Rewards

AI makes adjustments to pricing and reward systems based on the behavior of any single customer, inventory situation, and market environment in real time. Rather than providing identical discounts, AI tailors them based on the value of the lifetime of the customer and maximizes profitability and interactions. Retail, airlines, and other industries are beginning to implement AI-based tiered benefits to encourage people to spend more and remain loyal. There is some evidence that suggests that such a strategy leads to the bottom-line effect in that individualization leads to **40% higher revenues** in individualization-winning companies (McKinsey & Company, 2021). By relating the rewards to the value of customers, brands are able to build better relationships and long-term competitive advantage.

3.2.2 Gamification and Engagement

The other application of AI is to make loyalty programs more of a gamified experience by making them more interactive and emotional. Among the features are custom missions, achievement tracking, and challenges that keep the customers entertained even after making purchases. Personalization is needed, and calls-to-action should be **202%** more personalized and effective compared to generic **calls-to-action (CTAs)** (Hubspot, 2018). Depending on what a person desires to see, gamification can be used concerning the position of the AI and convert programs into something exclusive and highly inspirational. This change will make the loyalty programs engaging and interactive to create a desire to visit frequently and exploit the emotional response, and ultimately customer lifetime value. According to the internal studies, the programs have a 5-10% greater **ROI** than the traditional models, as these models indicate high retention and value over the long term (Madni & Purohit, 2019).

3.3 Category 3: Business advantages of AI-driven Loyalty

The AI-powered loyalty programs provide the long-awaited business benefits in the form of customer-centricity-driven personalization and operational efficiency. The **automation** of artificial intelligence enhances marketing efficiency in its functional aspect, and it has been found that lead-generation efficacy can be increased by **50%** (Forrester, 2022). Likewise, **84%** of the marketers report that AI allows structuring the customer journeys more effectively to sustain the customization (Salesforce, 2025)

4 Summary and Future Outlook

To conclude, AI has also transformed loyalty programs into more personalized, retention, and dynamic relationships, creating more enduring and loyal brand relationships. This allows the business to develop new relationships that are not dependent on the discounts and points since they are based on data. In the future, the further development of loyalty programs is estimated to be even more automated, and the use of AI solutions is estimated to be self-controlling in order to systematize and automate consumer interaction. The extra contact with these technologies, like IoT, AR/VR, and blockchain, will provide safe, interesting, and immersive experiences. The effect is that the loyalty will be transferred to advocacy, whereby customers will market the brand.

References

Forrester. (2022). Forrester Forecasts AI Software Will Grow 50% Faster Than The Overall Software Market. Forrester. https://www.forrester.com/press-newsroom/forrester-forecasts-ai-software-will-grow-50-faster-than-the-overall-software-market-2/

Gartner Analytics. (2020, October 19). Gartner Top 10 Trends in Data and Analytics for 2020. Gartner. https://www.gartner.com/smarterwithgartner/gartner-top-10-trends-in-data-and-analytics-for-2020

Hubspot. (2018). Personalized Calls to Action Perform 202% Better Than Basic CTAs [New Data]. Hubspot.com. https://blog.hubspot.com/marketing/personalized-calls-to-action-convert-better-data

Morgan, B. (2020, February 18). 50 Stats Showing The Power Of Personalization. Forbes. https://www.forbes.com/sites/blakemorgan/2020/02/18/50-stats-showing-the-power-of-personalization/

Madni, A., & Purohit, S. (2019). Economic Analysis of Model-Based Systems Engineering. Systems, 7(1), 12. https://doi.org/10.3390/systems7010012

Mützel, S., & Unternährer, M. (2024). Digital payments and relational embedding: Turning relations into data and data into relations. Big Data & Society, 11(3). https://doi.org/10.1177/20539517241266432

Rane, N., Choudhary, S., & Rane, J. (2023). Metaverse for Enhancing Customer Loyalty: Effective Strategies to Improve Customer Relationship, Service, Engagement, Satisfaction, and Experience. Social Science Research Network. https://doi.org/10.2139/ssrn.4624197

Salesforce. (2024). What Are Customer Expectations, and How Have They Changed? Salesforce. https://www.salesforce.com/uk/resources/articles/customer-expectations/

Salesforce. (2025, February). Top generative AI statistics for 2025. Salesforce. https://www.salesforce.com/news/stories/generative-ai-statistics/